Building Materials & Products Market Health Report

H1 2025

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By: Jacob Wozniewski, Gavin Gattuso, and Alex Schneider

Applied Value
One Biscayne Tower
2 S Biscayne Blvd. Suite 1750
Miami, FL 33131

www.appliedvaluegroup.com

Building Materials & Products Market Health Report

(H1 2025)

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Introduction

Building materials and products are the backbone of the construction industry, spanning core inputs like cement, lumber, and steel to finished components such as windows, doors, and roofing. While global trends influence the sector, this report focuses on the U.S. market, supported by select international benchmarks and risk indicators.

This report reflects Applied Value's current view on the health of key construction segments, combining macroeconomic data with company-level insights. It highlights the most critical forces shaping demand, costs, labor, supply chains, and financing conditions across sectors.

Building materials and building products demand is almost entirely derived from construction activity. When construction expands, upstream demand follows suit; when construction contracts, materials and products are among the first segments to feel the impact. Accordingly, this report uses the health of the U.S. construction industry as the foundational lens for assessing current conditions and the forward outlook for these supplier sectors.

Throughout, we offer practical guidance on managing volatility and positioning for growth. Applied Value's Lean Growth approach helps clients improve performance—whether by mitigating input cost inflation, closing labor gaps, or boosting operational efficiency.

We invite readers to explore the findings and contact us to learn how Applied Value can help drive measurable impact.

Executive Summary

Performance & Outlook for the US Market

In H1 2025, the construction sector demonstrated pronounced divergence. Residential activity remained under pressure, with single-family housing starts and permits constrained by elevated mortgage rates, weak affordability, and subdued consumer confidence. Multifamily completions were strong, but new starts moderated sharply, signaling softer momentum ahead. In contrast, nonresidential segments—particularly industrial, institutional, and infrastructure builds—remained resilient, sustained by public funding programs such as the IIJA, CHIPS, and IRA that continue to underpin multi-year project pipelines.

Across the industry, input costs for key materials such as lumber, steel, and copper stabilized after years of volatility, providing cost predictability even as geopolitical and tariff risks linger. Skilled labor shortages persisted, extending project timelines and embedding wage inflation into bids. Credit availability tightened further, disproportionately affecting smaller or higher-risk private developers. These dynamics shape both the pace of construction activity and the corresponding flow of orders across materials and products categories.

For upstream suppliers, the outlook is mixed. Demand for heavy construction inputs—such as aggregates, cement, asphalt, and structural steel—remains buoyed by long-duration public and industrial projects. In contrast, housing-related categories like framing lumber, roofing, gypsum, and windows face softer near-term demand, with limited support from repair and remodeling. Suppliers with diversified exposure and flexibility to shift toward resilient end-markets are best positioned to navigate the current cycle.

Public company performance in H1 2025 reflected this split. Firms with high infrastructure exposure and disciplined pricing captured growth in both revenue and margins, while residential-heavy operators defended profitability through cost controls, portfolio adjustments, and increased focus on repair-and-remodel channels. Capital allocation discipline and selective investment remain critical differentiators in an environment where credit is scarce, and market conditions are uneven.

Looking ahead, the trajectory of the construction market—and by extension, materials and products demand—will hinge on the timing and scale of monetary easing, the durability of public funding programs, and the ability of the industry to manage persistent labor challenges. Tariff developments and global supply risks remain key watchpoints. The next 12–18 months are likely to bring gradual improvement in some residential metrics once borrowing costs ease, while nonresidential activity will rely on public and industrial demand to offset an expected softening in private project pipelines.

Key Risks to Monitor

- Prolonged high interest and mortgage rates delaying residential demand recovery
- Persistent skilled labor shortages and wage inflation
- Restrictive lending standards limiting credit availability for smaller or higher-risk projects
- Geopolitical and tariff-driven input cost volatility

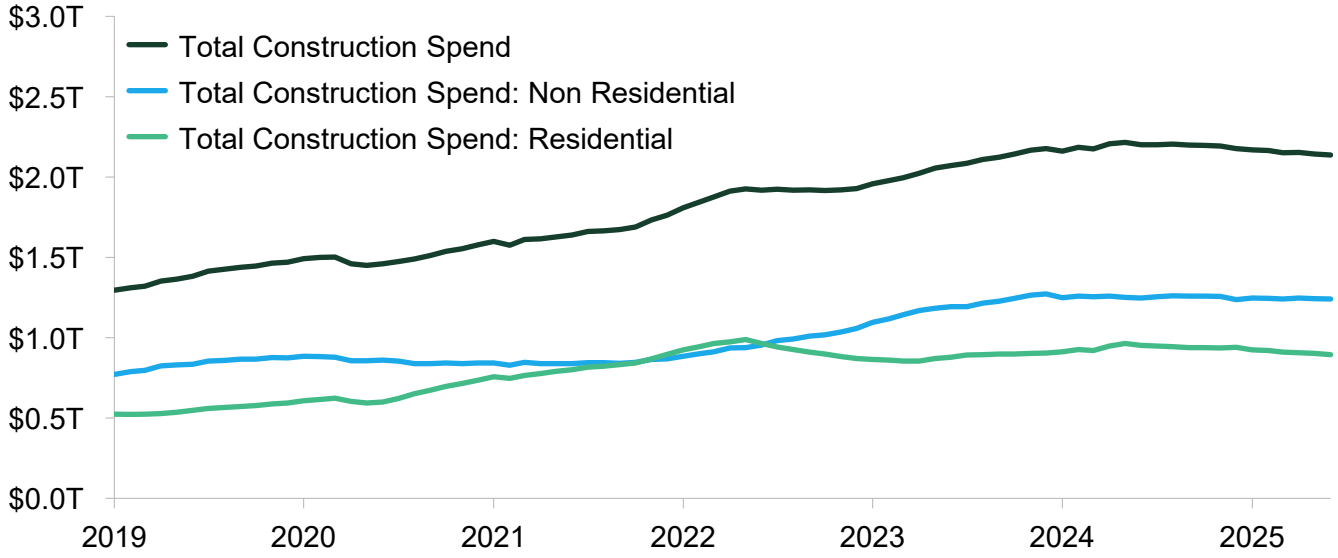
Success Factors and Strategic Priorities

Outperformers are defined by cost discipline, pricing strength, and operational agility. Leaders are investing in supply chain resilience, workforce development, digital capabilities, and sustainable innovation to strengthen competitiveness in a shifting market.

Market Scope

The global construction market is projected to reach $17 trillion in 2025, led by continued growth in Asia-Pacific. The U.S., the world's second-largest market, is expected to reach $1.27–$2.12 trillion, bolstered by post-pandemic recovery, infrastructure spending, and demographic demand. Following a 7.3% CAGR from 2020–2024, U.S. growth is moderating to ~4.4% annually through 2030. Infrastructure and nonresidential activity remain resilient, while the residential sector faces persistent affordability and financing headwinds, underscoring the need for focused U.S. market analysis.

Figure 1: Total Construction Spend in the United States ($T)



Market Context & Outlook

H1 2025 Summary

The first half of 2025 reflected a construction landscape shaped by persistent macro headwinds and sector-specific divergences. On the residential side, elevated mortgage rates and constrained affordability continued to suppress single-family housing starts, while multifamily completions remained high but new starts slowed, pointing to a potential deceleration into 2026. In contrast, nonresidential maintained momentum, supported by industrial, institutional, and infrastructure commitments that sustained backlogs at historically elevated levels, even as architectural billings trended lower for an extended period.

From a cost and operational standpoint, input prices for core materials such as lumber, steel, and copper largely stabilized compared to prior volatility, though tariff proposals and geopolitical risks left the outlook vulnerable to renewed inflationary pressure. Labor shortages persisted across both residential and nonresidential construction, contributing to delivery delays and further embedding wage inflation into project economics. Credit conditions remained tight, with banks maintaining elevated equity requirements and restrictive lending standards, limiting access to capital for speculative or higher-risk projects.

H2 2025 Prospectus

Looking forward over the next 12 months, the path to recovery in the residential market hinges on the timing and scale of monetary easing. Until borrowing costs decline materially and income growth improves, demand is expected to remain muted in the single-family segment. Nonresidential markets should see continued near-term stability, particularly where bolstered by multi-year public funding streams under programs such as IIJA, CHIPS, and IRA, although the sustained decline in architectural billings suggests a moderate softening in privately financed work by late 2025 into 2026.

Key risks to watch include the persistence of restrictive credit conditions even after potential rate cuts, geopolitical developments impacting material and energy costs, and the industry's ability to address chronic labor shortages. Offsetting these risks, long-duration public infrastructure projects and steady institutional investment in mission-critical facilities provide a degree of stability, positioning the industry to weather cyclical pressures while selectively capitalizing on structural demand drivers.

Drivers of Market Health

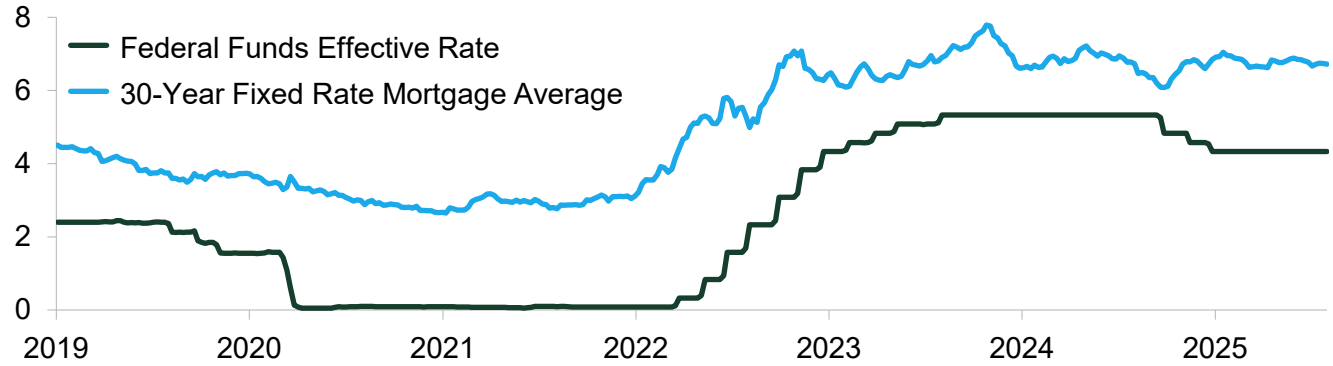
A range of macroeconomic and industry-specific forces are shaping the near- and medium-term construction outlook. The table below ranks the most influential drivers by impact, indicating recent trend direction (Positive / Neutral / Negative) and whether each serves as a Leading or Lagging indicator.

DRIVER	SUMMARY	INDICATOR TYPE	RECENT TREND
INTEREST AND MORTGAGE RATES	Impact financing conditions for residential, commercial, and industrial projects.	Leading →	Negative
LABOR DYNAMICS	Tight labor market and rising wages constrain project delivery and pressure margins.	Lagging ←	Negative
MATERIAL AND ENERGY COSTS	Eased from pandemic peaks but still key to project profitability.	Leading →	Neutral
DEMAND VISIBILITY	Building permits and construction backlogs signal future project pipelines.	Leading →	Neutral
GOVERNMENT INFRASTRUCTURE SPENDING	Public investment continues to underpin non-residential demand—impact of new administration still being evaluated.	Leading →	Positive
CREDIT AVAILABILITY AND LENDING STANDARDS	Bank lending conditions influence project financing, especially for commercial developments.	Leading →	Negative
GDP GROWTH AND CONSUMER CONFIDENCE	Broader macroeconomic conditions and sentiment drive overall construction demand.	Lagging ←	Negative

Interest and Mortgage Rates: Recent Trends and Outlook

Over the last twelve months, the Federal Reserve has sustained the federal funds rate within the 4.25–4.5% band. Thirty-year fixed mortgage rates consistently averaged between 6.8% and 6.9%. These conditions have most distinctly dampened residential single-family demand and restricted commercial financing activity. Although recent employment data revisions have increased expectations for rate cuts, monetary policy has yet to ease. Notably, tariff developments during 2025Q2 introduced additional inflationary pressures, contributing to the delayed adjustment in interest rates.

Figure 2: Federal Funds Effective Rate and 30-Year Fixed Rate Mortgage Average, %



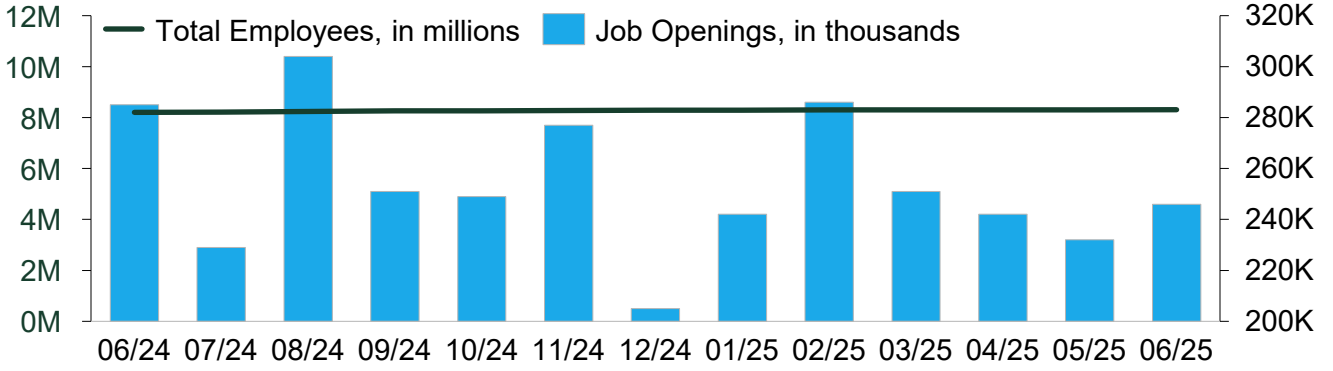
Impact on Construction: Elevated borrowing costs are holding residential starts near cyclical lows and delaying some privately financed commercial projects.

Implication for Materials & Products: Softness in single-family volumes caps demand for framing lumber, roofing, doors/windows, and other early-cycle inputs; slower commercial starts temper demand for steel, concrete products, and interior finishes.

Labor Dynamics: Recent Trends and Outlook

Throughout the last twelve months, the building materials sector has experienced persistent labor shortages, with unfilled industry positions exceeding 240,000 and peak employment (8.3M) falling short of closing the skills gap. Wage inflation among skilled trades has outpaced the Consumer Price Index, and contractor surveys underscore entrenched structural shortages—77–80% reporting staffing deficits.

Figure 3: US Construction Labor Dynamics



Impact on Construction: Persistent skilled labor shortages are extending project timelines and limiting the pace at which backlogs can convert to active builds.

Implication for Materials & Products: Slower build-through rates stretch materials demand over a longer period and can shift purchase timing but also risk deferment or scope reduction on more labor-intensive projects.

Material and Energy Costs: Recent Trends and Outlook

Following significant price declines post-pandemic, material and energy costs have stabilized since mid-2024. Lumber prices fluctuated between $431 and $680/MBF[1], showing notable year-on-year volatility due to regional supply factors. Copper and steel prices have plateaued, while fuel costs remain stable but subject to disruption. Proposals for 2025 tariffs on metals, lumber, and appliances represent the principal cost risk observed in the period.

Figure 4: Building Materials Producer Price Indices

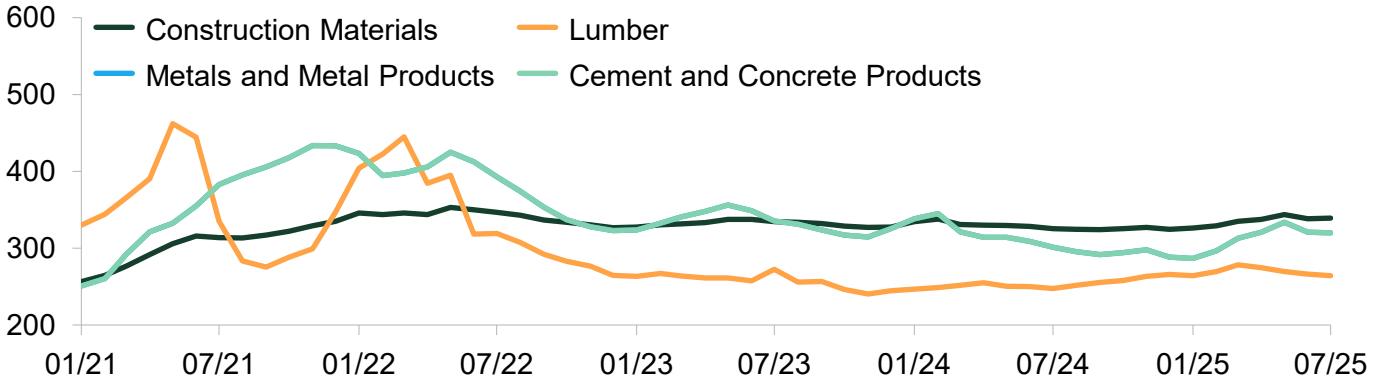
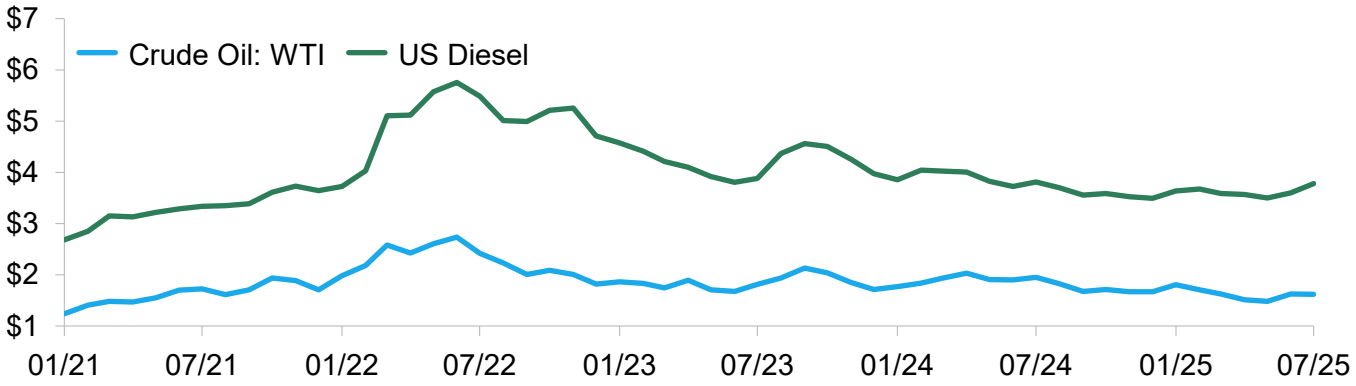


Figure 5: Petroleum Product Prices (Dollars per Gallon)



Impact on Construction: Stable pricing reduces near-term project cost escalation, supporting bid activity, though tariff risks introduce potential future volatility.

Implication for Materials & Products: Predictable input costs aid planning and inventory management for manufacturers; sudden cost spikes from tariffs could lead to order pacing adjustments or substitution toward lower-cost materials.

1. MBF is Thousand Board Feet

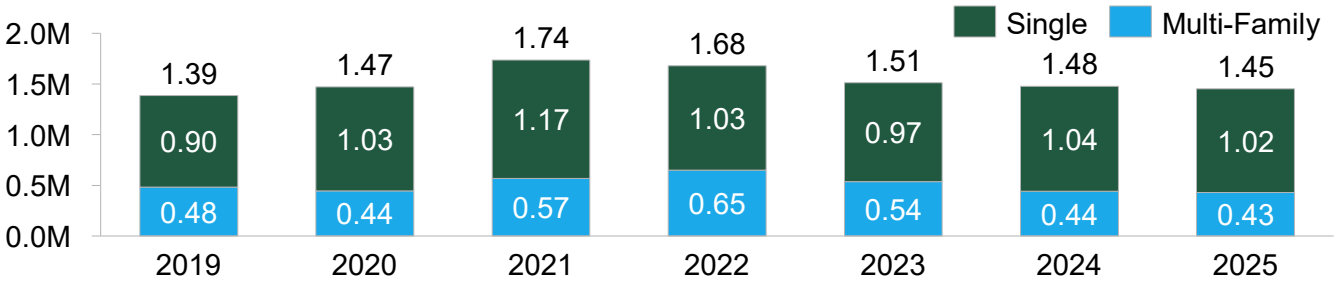
Demand Visibility: Recent Trends and Outlook

- **Residential:** Residential demand indicators have shown continued weakness over the past year. Building permits declined 4–5% year-on-year as of mid-2025, and homebuilders have increasingly relied on mortgage buydowns and price discounting in an attempt to stimulate sales. Despite these efforts, absorption rates have remained muted. The sector continues to face significant headwinds from elevated borrowing costs, deteriorated affordability, and subdued consumer confidence. The outlook for recovery hinges on meaningful interest-rate reductions and sustained income growth, with few short-term catalysts currently present.

Impact on Construction: Ongoing weakness in permits and slow absorption rates signal a muted single-family construction pipeline.

Implication for Materials & Products: Prolonged softness curtails near-term volumes for structural and exterior products tied to new-build housing, though strength in R&R may partially offset declines in certain categories.

Figure 6: New Privately Owned Housing Units Authorized by Building Permits ($M)

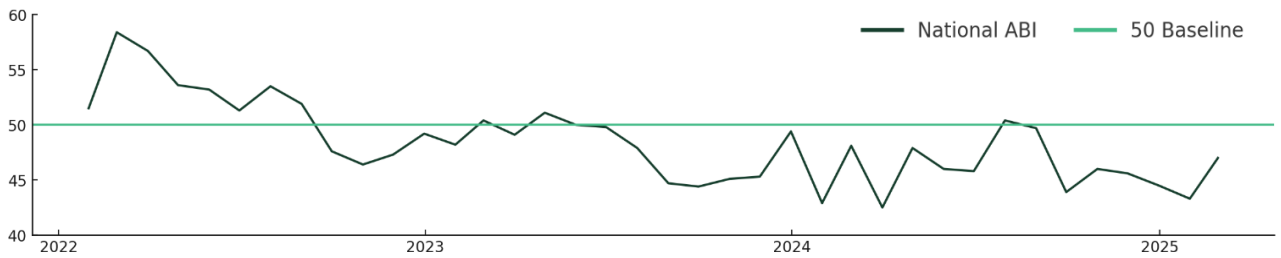


- **Nonresidential & Infrastructure:** Nonresidential construction pipelines remain comparatively resilient, with backlogs elevated at approximately 8–9 months, supported by ongoing industrial, institutional, and infrastructure commitments. Nonetheless, leading indicators point to emerging softness, as architectural billings have contracted for sixteen consecutive months, highlighting a slowing flow of new projects into the pipeline. The sector benefits from continued public and industrial project activity, which offsets cyclical weakness in privately financed developments. Links to fiscal programs such as IIJA, CHIPS, and IRA are addressed in the Government Infrastructure Spending section. Near-term demand remains stable, but mid-term visibility is tempered by the sustained downturn in design-stage activity.

Impact on Construction: Industrial, institutional, and infrastructure work is sustaining elevated backlogs despite private project softening.

Implication for Materials & Products: Stable demand for heavy materials (aggregates, cement, rebar, structural steel) from public and long-cycle industrial builds; less immediate pull-through for interior finish materials until private pipeline improves.

Figure 7: National Architecture Billings Index (2022-2025 | 50=Baseline)



Government Infrastructure Spending: Recent Trends and Outlook

Since mid-2024, more than $390 billion has been allocated through the IIJA, CHIPS Act, and IRA, with a concentration in transportation, water systems, broadband infrastructure, and manufacturing capacity expansion. Semiconductor plant incentives increased significantly in H1 2025, although certain clean energy projects have faced political delays.

Figure 8: US Non-Residential Construction Spend (2019-2025 | $B)

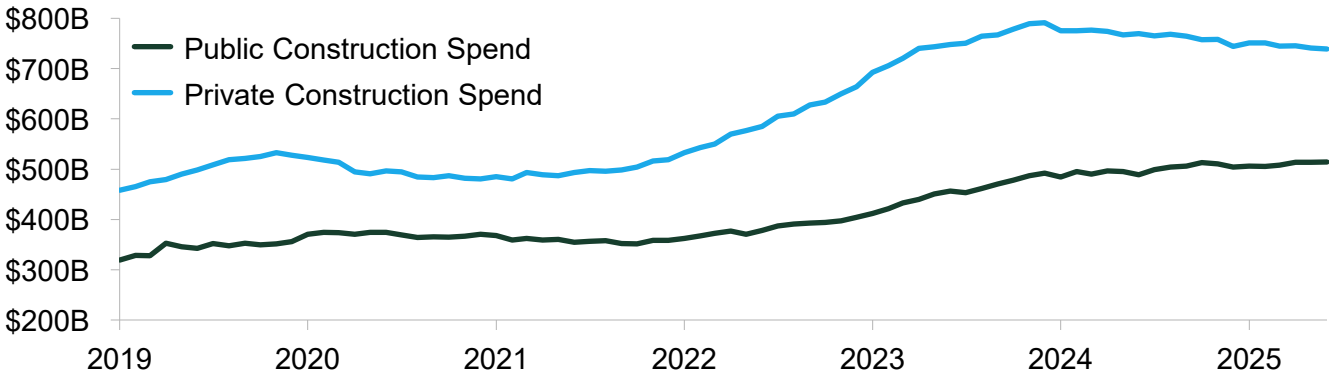
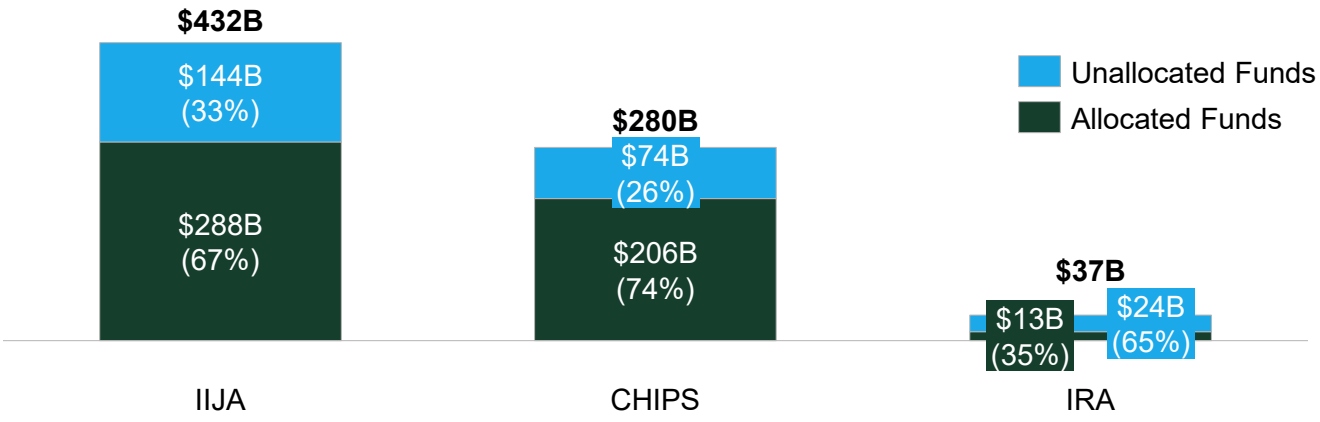


Figure 9: US IIJA, IRA & CHIPS Act Budgets (July 2025, $B)



Impact on Construction: Multi-year funding programs are anchoring volumes in transportation, utilities, and manufacturing megaprojects.

Implication for Materials & Products: Sustained demand floor for aggregates, concrete, asphalt, structural steel, and specialized project inputs, providing predictable volume streams for suppliers aligned to public works.

Credit Availability and Lending Standards: Recent Trends and Outlook

Since late 2024, credit conditions for commercial real estate and construction have tightened quarter-over-quarter. Banks have implemented lower loan-to-value ratios, increased equity requirements, and more stringent underwriting criteria—pressuring small developers and speculative private projects. Larger, well-capitalized borrowers maintain access to private credit but at significantly higher cost.

Impact on Construction: Tighter lending criteria are reducing starts for smaller developers and speculative projects, particularly in higher-risk commercial segments.

Implication for Materials & Products: Dampened order flow for products serving office, retail, and speculative multi-unit housing; better capitalized contractors may consolidate orders with fewer vendors, impacting competitive dynamics.

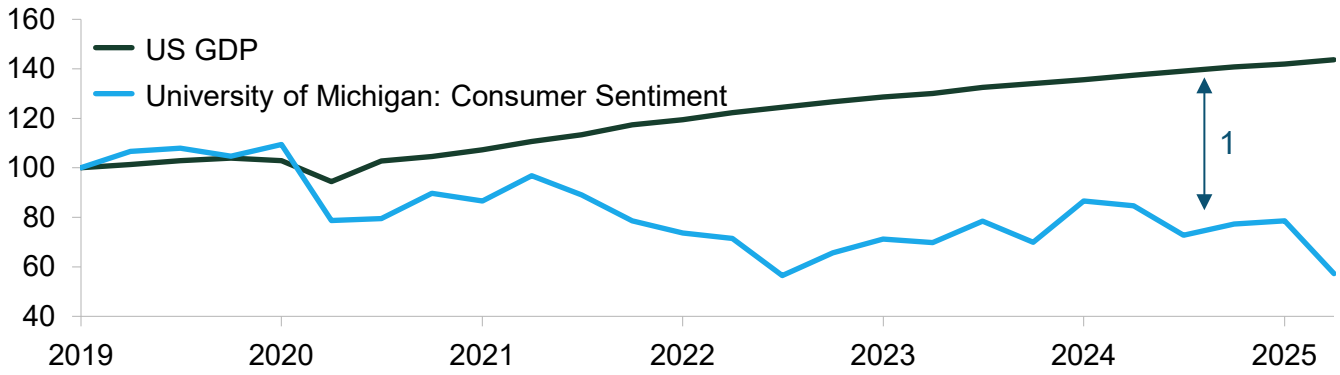
GDP Growth and Consumer Confidence: Recent Trends and Outlook

The first quarter of 2025 marked the first GDP contraction in three years (-0.5%, annualized). While consumer sentiment has marginally improved since early 2025, it remains depressed compared to late 2024. Housing affordability remains at historically low levels, with typical monthly payments exceeding income growth.

Impact on Construction: Weak macro growth and subdued consumer sentiment are constraining discretionary residential projects and some commercial investments.

Implication for Materials & Products: Reduced homeowner and small-business spending limits uplift from R&R and fit-out demand, especially for mid- to high-end finish products.

Figure 10: Index of US GDP and U-M Consumer Sentiment Survey (2019-2025)



Conclusion: Implications from Sector Drivers

The U.S. construction industry faces a challenging but manageable outlook. Residential activity will likely remain subdued in the near term amid high interest rates, affordability constraints, and cautious sentiment, with meaningful recovery contingent on rate cuts and income growth. Nonresidential sectors remain resilient, supported by backlogs, industrial and institutional demand, and multi-year infrastructure funding from IIJA, CHIPS, and IRA.

Structural labor shortages and tight lending will continue to influence project delivery and financing, requiring strategic workforce and capital planning. Over the next several quarters, sector performance will hinge on the balance between policy-driven stimulus, macroeconomic shifts, and sector-specific structural factors. The industry's adaptability will be critical to capturing opportunities while mitigating persistent headwinds.

1. Why GDP Strength is not Reflected in Sentiment

Since the COVID era, U.S. GDP has recovered robustly. Despite this consumer confidence remains historically depressed. This divergence reflects a persistent disconnect driven by lingering inflation effects, declining trust in economic mobility, and increasingly pessimistic survey biases. Research also shows that sentiment measures now respond less directly to indicators like unemployment or wage growth. For building materials and construction sectors—particularly discretionary home spending—this means caution persists not because of macro weakness, but due to psychological and perceptual dynamics that may ultimately temper demand even amid positive fundamentals.

Public Company Performance Snapshot (H1 2025)

The first half of 2025 underscored significant divergence in performance among leading U.S. and North America–focused building materials companies, largely driven by their exposure mix and operational strategies. Aggregates and cement producers such as CRH, Martin Marietta Materials, and Vulcan Materials capitalized on robust infrastructure and industrial demand flows, translating elevated backlogs into increased revenues and improved operating margins. Strategic pricing discipline, network optimization, and selective acquisition activity enhanced these gains, with infrastructure-linked volumes offsetting softness in certain private sector projects.

By contrast, manufacturers with heavier exposure to the residential new construction market, including Owens Corning, JELD-WEN, and Builders FirstSource, faced continued volume pressures tied to weak single-family permitting activity. Nevertheless, these companies sustained profitability by leaning into the repair-and-remodel (R&R) segment, executing aggressive cost control programs, and rationalizing production footprints. In many cases, margin protection strategies were supplemented by targeted price increases in specialty or premium product categories.

Vertically integrated players with diversified end-market exposure, such as Holcim and Eagle Materials, benefitted from demand stability in infrastructure and nonresidential segments, while also capturing pockets of residential R&R and commercial renovation demand. Across the board, disciplined capital allocation—prioritizing high-return projects, share repurchases, or opportunistic bolt-on acquisitions—remained a common thread in sustaining investor confidence and equity resilience through choppy end-markets.

Performance Themes (H1 2025)

- **Infrastructure-Linked Outperformance:** Exposure to federally funded and long-cycle public projects proved the strongest determinant of top- and bottom-line growth in H1. Companies with significant aggregates and heavy materials portfolios materially outpaced peers in both revenue growth and margin expansion.
- **Margin Resilience through Pricing & Cost Discipline:** Despite muted top-line growth in residential-facing segments, proactive pricing strategies—especially in differentiated, high-spec categories—paired with cost optimization insulated earnings. Lean manufacturing initiatives, freight efficiency, and SG&A reduction were common profitability levers.
- **Repair & Remodel (R&R) as a Defensive Segment:** The R&R channel provided a critical buffer for companies with residential exposure. Stable homeowner equity and pent-up remodeling demand allowed select manufacturers to re-allocate sales focus toward this segment, softening the impact of new-build weakness.
- **Strategic Portfolio Management:** H1 saw sustained emphasis on portfolio reshaping—whether via divestiture of non-core assets, bolt-on acquisitions to strengthen regional scale, or expansion into adjacent product lines aligned with infrastructure and industrial demand.
- **Capital Allocation Discipline:** Restricted credit availability in the broader market heightened the importance of internal funding discipline. Well-capitalized firms used balance-sheet strength to invest selectively, maintain or grow dividends, and execute buybacks, reinforcing shareholder returns against a volatile macro backdrop.

Positioning for H2 2025 & Beyond

The divergence in H1 performance sets a clear tone for the remainder of the year—firms aligned with public infrastructure programs and long-lived industrial projects are positioned to maintain stability, while residential-heavy operators will need to continue leaning on R&R demand, efficiency gains, and disciplined pricing. As architectural billings in nonresidential soften, even infrastructure-friendly portfolios may see moderation in private project backlogs by early 2026, underscoring the importance of agility in capital deployment and market targeting.

Trend Continuity & Retrospective Analysis

Variances from Expectation

H1 2025 market performance generally aligned with consensus expectations but revealed several notable deviations that will influence the industry's course over the next 12–18 months. Residential permitting activity contracted by an estimated 4–5% year-on-year, slightly exceeding the forecasted decline of roughly 3%, as persistently high mortgage rates and strained affordability weighed more heavily on single-family housing than anticipated. Conversely, nonresidential output marginally outperformed projections, buoyed by continued execution of federally funded infrastructure projects and steady industrial builds. Input cost trends also diverged from expectations: while volatility was forecast to re-emerge, prices for key materials such as lumber, steel, and copper remained stable for much of the period, limiting the margin compression risk in infrastructure-aligned segments.

The first half also brought unexpected developments. Labor cost inflation persisted more than models had assumed, even amid essentially flat aggregate construction volumes, underscoring the structural nature of skilled trade shortages. Architectural billings in the nonresidential sector contracted for sixteen consecutive months—well beyond the twelve-month downturn anticipated—signaling a deeper cooling in private project pipelines ahead. Multifamily construction decelerated more sharply than expected, with new starts falling against a backdrop of elevated completions. In financing, credit tightened more abruptly than lenders' early-year guidance suggested, with higher equity thresholds and stricter underwriting materially reducing access for small and mid-sized private developers.

Looking Ahead

Looking ahead into H2 2025 and early 2026, industry attention will center on several pivotal indicators. The timing and magnitude of potential interest-rate cuts will heavily influence the pace of any residential recovery, while material cost stability remains vulnerable to proposed tariffs and broader geopolitical risk. The durability of the public project backlog—particularly in transportation, water infrastructure, and semiconductor manufacturing—will be critical in offsetting weakening private development momentum. Key watchpoints include a potential turn in architectural billing trends, shifts in repair-and-remodel activity as consumer confidence evolves, and any signs of moderation in labor cost inflation. Together, these factors will frame the baseline from which future performance will be measured in upcoming editions of this report.

How Applied Value Can Help

Applied Value is a hands-on management consultancy known for delivering measurable results in complex, fast-moving industries. Through our Lean Growth framework—built on Focus, Simplicity, and Speed—we help construction and building materials companies unlock performance improvements across cost, capital, and operations.

AV's approach is fact-based, practical, and impact-driven:

- We bring deep sector expertise from decades of work with global manufacturers, suppliers, and service providers.
- We specialize in identifying cost and capital inefficiencies, driving sustainable margin expansion and cash flow resilience—even in volatile environments.
- We are independent advisors committed to actionable recommendations and rapid implementation—not theoretical solutions.

In today's evolving construction landscape, Applied Value supports clients by:

- **Optimizing Sourcing and Supply Chains:** Reducing costs through supplier negotiations, risk mitigation, and inventory efficiency, while enhancing resilience to material volatility and geopolitical disruptions.
- **Enhancing Operational Efficiency:** Applying Lean Growth tools to streamline processes, reduce complexity, and accelerate execution—from project bids to innovation cycles.
- **Improving Pricing and Commercial Strategy:** Drive pricing discipline and segmentation to safeguard margins as labor, material, and financing costs climb.
- **Supporting Strategic M&A and Portfolio Optimization:** Identifying value-accretive adjacencies, supporting diligence, and executing integrations—especially in infrastructure, R&R, and energy-efficient solutions.
- **Accelerating Digitalization and Productivity:** Enabling data-driven decision-making, automation, and end-to-end visibility for more agile and responsive operations.

Above all, our work is grounded in results. We partner closely with leadership teams to deliver immediate, tangible impact and long-term resilience, equipping clients to navigate uncertainty and outperform in a dynamic market. These priorities mirror the forces shaping today's landscape, as seen in the following H1 2025 snapshot of industry performance.

Interested in learning more?

Contact one of our global offices to start a conversation with the Applied Value team.

Max Sultan
Partner
+1 (978) 760-9971

Miami

Alexander Schneider
Manager
+ 1 (561) 289-1313

Miami

Jacob Wozniewski
Senior Consultant
+ 1 (351) 216-9648

Miami

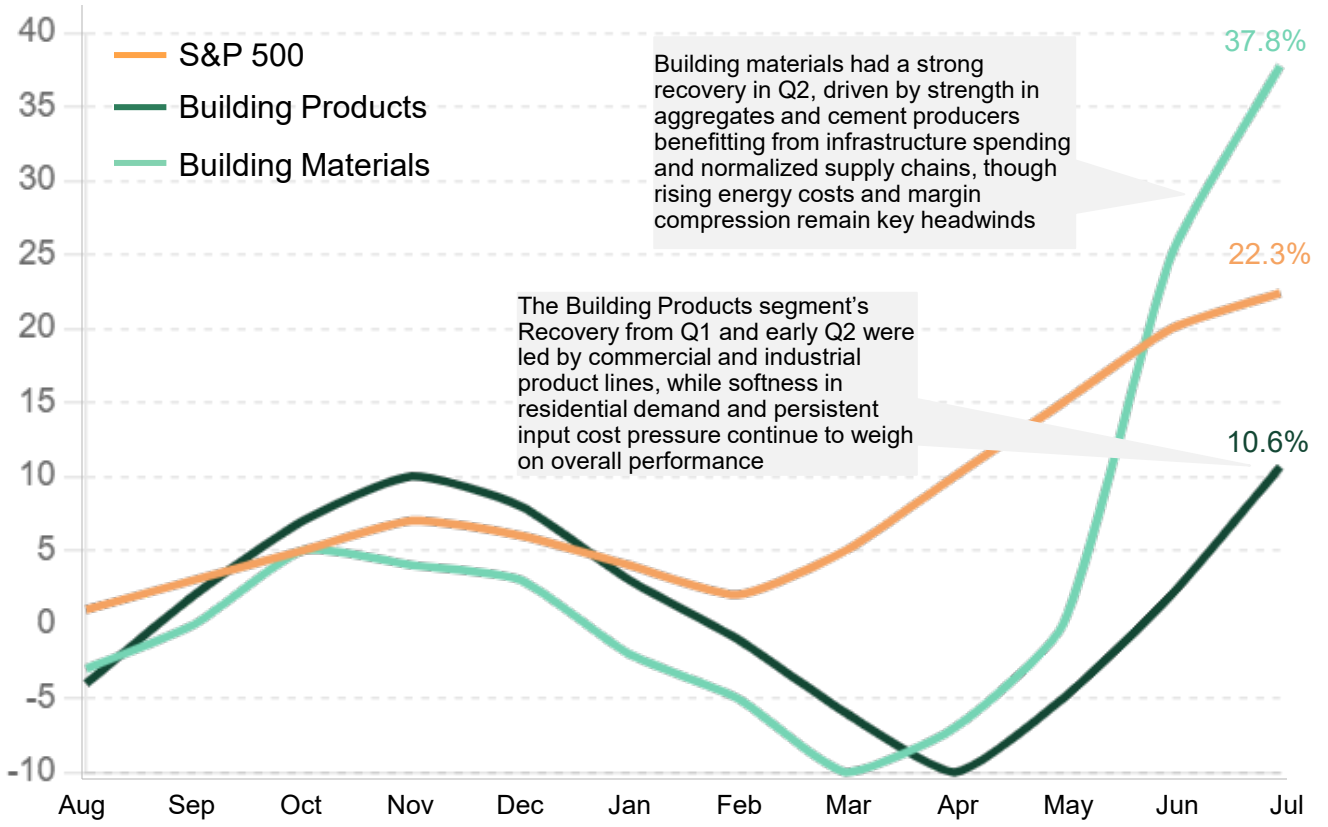
Public Company Performance Snapshot (H1 2025)

The table below summarizes H1 2025 performance and strategic positioning for leading publicly traded building materials and products companies. Aggregates and cement leaders such as CRH, Martin Marietta, and Vulcan Materials benefited from infrastructure momentum, pricing power, and margin gains. Residential-exposed firms like Owens Corning and JELD-WEN faced softer volumes but leaned on R&R demand and cost control. Wood products players balanced modest lumber recovery with disciplined operations, while distribution and specialty product firms, including Builders FirstSource and Carlisle, focused on margin protection and portfolio optimization. Retail-facing companies such as Home Depot cited R&R and maintenance demand as stabilizing forces. Across the sector, scale, cost discipline, and exposure to infrastructure and resilient channels remained key performance drivers.

Segment	Company (Ticker)	Headline Performance/Strategy (H1 2025)
Aggregates & Cement	CRH (CRH)	Robust infrastructure revenue; expanding U.S. footprint via M&A
	Martin Marietta (MLM)	+6% YoY revenue; public works/project backlog strength
	Vulcan Materials (VMC)	Margin expansion on cost/pass-through pricing
	Eagle Materials (EXP)	Outperforming on infrastructure/cement demand
Fiberglass & Composites	Owens Corning (OC)	Softer residential insulation volumes; R&R demand stable
Wood Products	Weyerhaeuser (WY)	Modest lumber pricing recovery; resilient timberland returns
	UFP Industries (UFPI)	Growth in specialty wood; improved cost control
	West Fraser (WFG)	Mixed lumber demand; cost discipline focus
	Simpson Manufacturing (SSD)	Energy-efficient structural components acquisition
Distribution	Builders FirstSource (BLDR)	Lower new construction volume, R&R focus, targeted M&A
Roofing Distribution	Beacon Roofing (BECN)	Stable commercial & R&R demand; margin resilience
Roofing & Insulation	Carlisle Companies (CSL)	Margin gains via cost controls, pricing power
Insulation & Panels	Kingspan (KRX)	Strong North America demand, emphasis on envelope solutions
Doors & Windows	JELD-WEN (JELD)	Continued single-family headwinds; focusing on operational efficiency
	Masonite (DOOR)	Lower volumes; R&R/energy efficient door focus
Water Management	Advanced Drainage (WMS)	Stormwater demand, public works tailwinds
Kitchen & Bath	Masco (MAS)	R&R-driven volume resilience, premium product mix
	Fortune Brands (FBIN)	Profitable growth in branded kitchen/bath; innovation spend
Infrastructure/MEP	Emcor Group (EME)	Record backlog; labor constraints continue
Retail/R&R Channel	Home Depot (HD)	R&R outperforms new build; maintenance spending up

The factors listed above have split returns for building materials and products firms, with non-residential-aligned players outperforming residential-focused peers.

Share price performance, YTD returns by segment



This report analyzes the financial performance of 35 building materials and products companies operating in the US, and covers 500 BUSD in revenue

Building Materials Companies

Segment	Company	Revenue (LTM BUSD)	Country
Cement, aggregates and ready-mix concrete	CRH	$35.8	Ireland
	CEMEX	$15.7	Mexico
	Heidelberg Materials	$23.5	Germany
	Holcim	$30.3	Switzerland
	Martin Marietta	$6.6	US
	Taiheiyo Cement	$5.9	Japan
	Vulcan	$7.6	US
Glass	AGC	$13.7	Japan
	Owens Corning	$11.5	US
	Saint Gobain	$51.1	France
Lumber and wood	Canfor	$3.8	Canada
	Interfor	$2.4	Canada
	UFP	$6.5	US
	West Fraser	$5.8	Canada
	Weyerhaueser	$7.1	US
Steel	Arcelor Mittal	$60.6	Luxembourg
	Nucor	$30.8	US
	Steel Dynamics	$17.1	US
Bricks and masonry	Wienerberger	$4.5	Austria

125.4 BUSD 76.3 BUSD 25.6 BUSD 108.5 BUSD 4.5 BUSD

The report covers 340 BUSD of building materials revenue

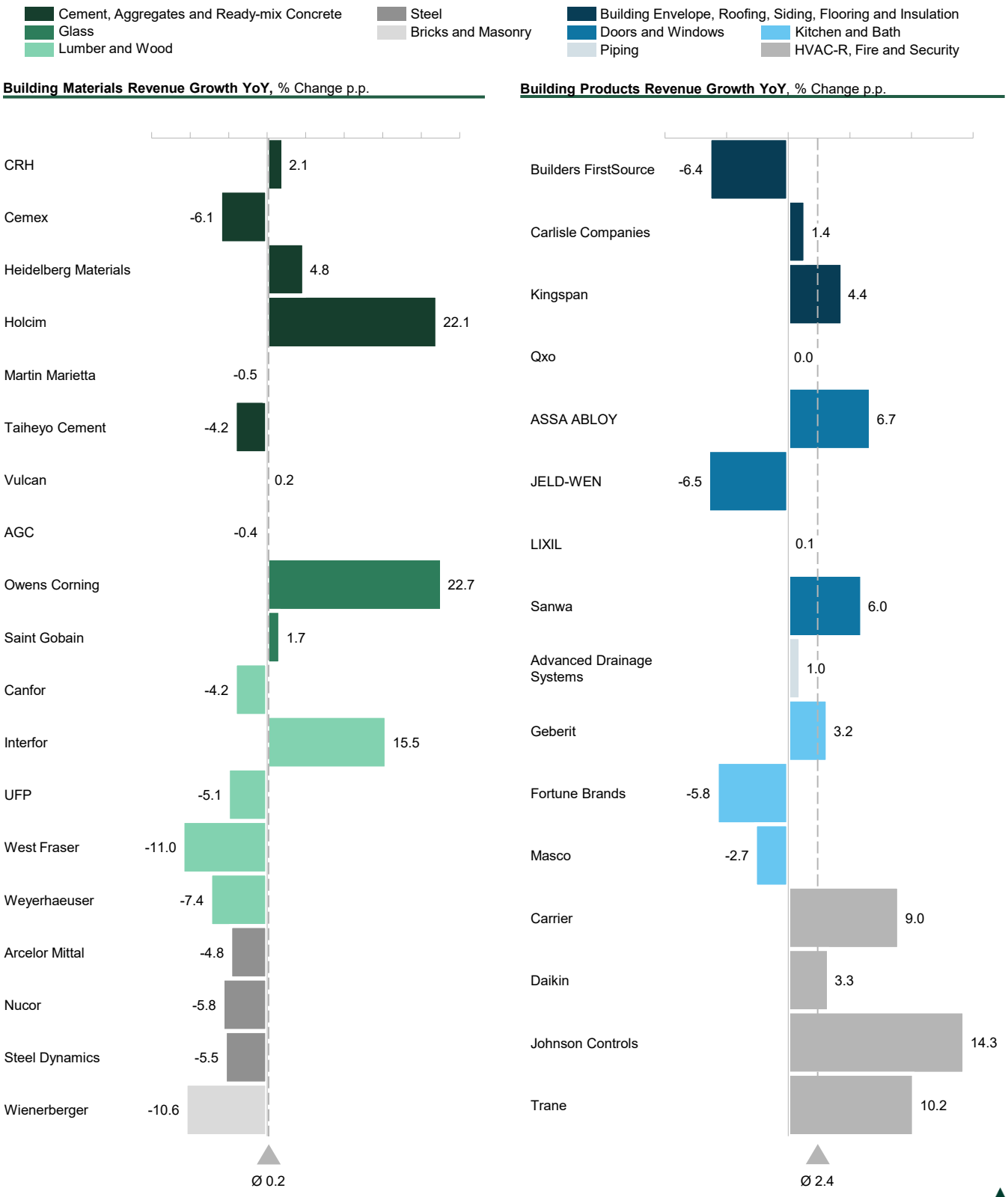
Building products companies

Segment	Company	Revenue (LTM BUSD)	Country
Building envelope, roofing, siding flooring and insulation	Builders FirstSource	$15.9	US
	Carlisle Companies	$5.0	US
	Kingspan	$0.3	Ireland
	Qxo	$0.1	US
Doors and windows	ASSA ABLOY	$14.8	Sweden
	JELD-WEN	$3.3	US
	LIXIL	$10.0	Japan
	Sanwa	$4.4	Japan
Piping	Advanced Drainage Systems	$2.9	US
Kitchen and bath	Geberit	$3.5	Switzerland
	Fortune Brands	$4.5	US
	Masco	$7.7	US
HVAC-R, fire and security	Carrier	$22.5	US
	Daikin	$31.5	Japan
	Johnson Controls	$23.4	Ireland
	Trane	$20.8	Ireland

21.3 BUSD 32.5 BUSD 2.9 BUSD 5.7 BUSD 98.2 BUSD

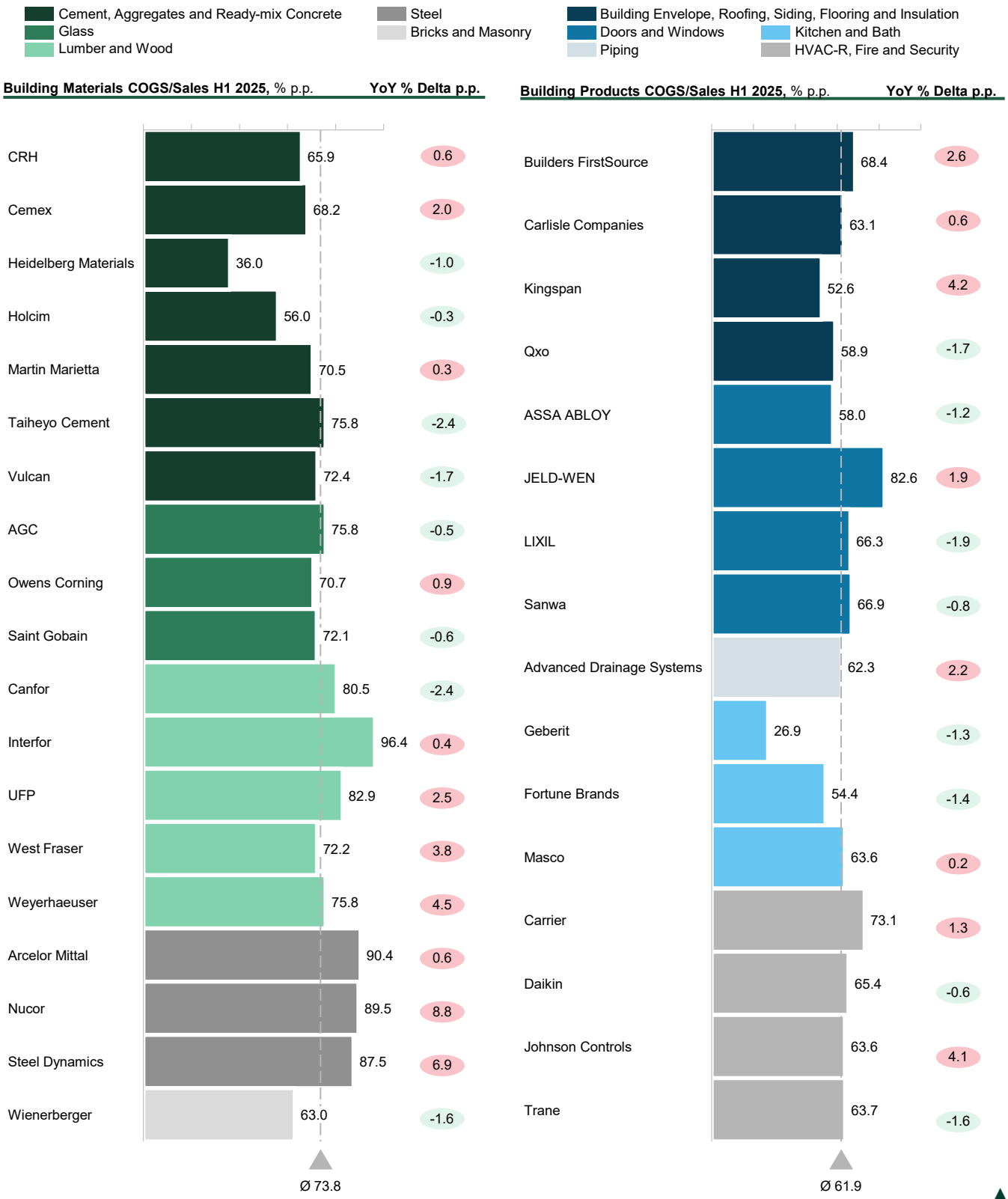
The report covers 161 BUSD of building products revenue

Most Categories Return to Normal in H1'23; Cement & HVAC-R Remain Exceptions



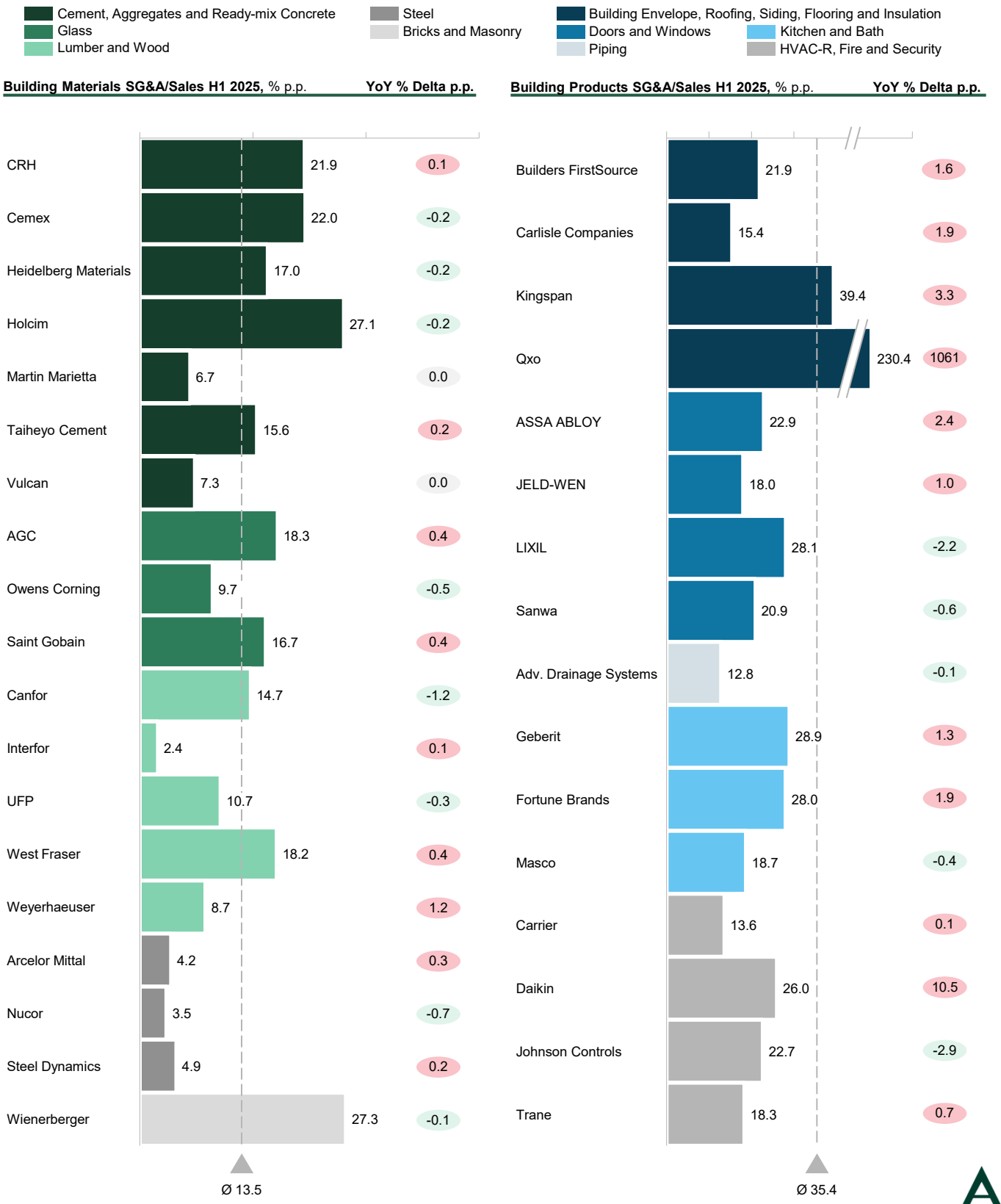
Source: Capital IQ, Applied Value analysis

Apart from the steel and lumber sub-sectors, most companies saw an improvement in COGS/sales due to easing inflation & cost pressures YoY



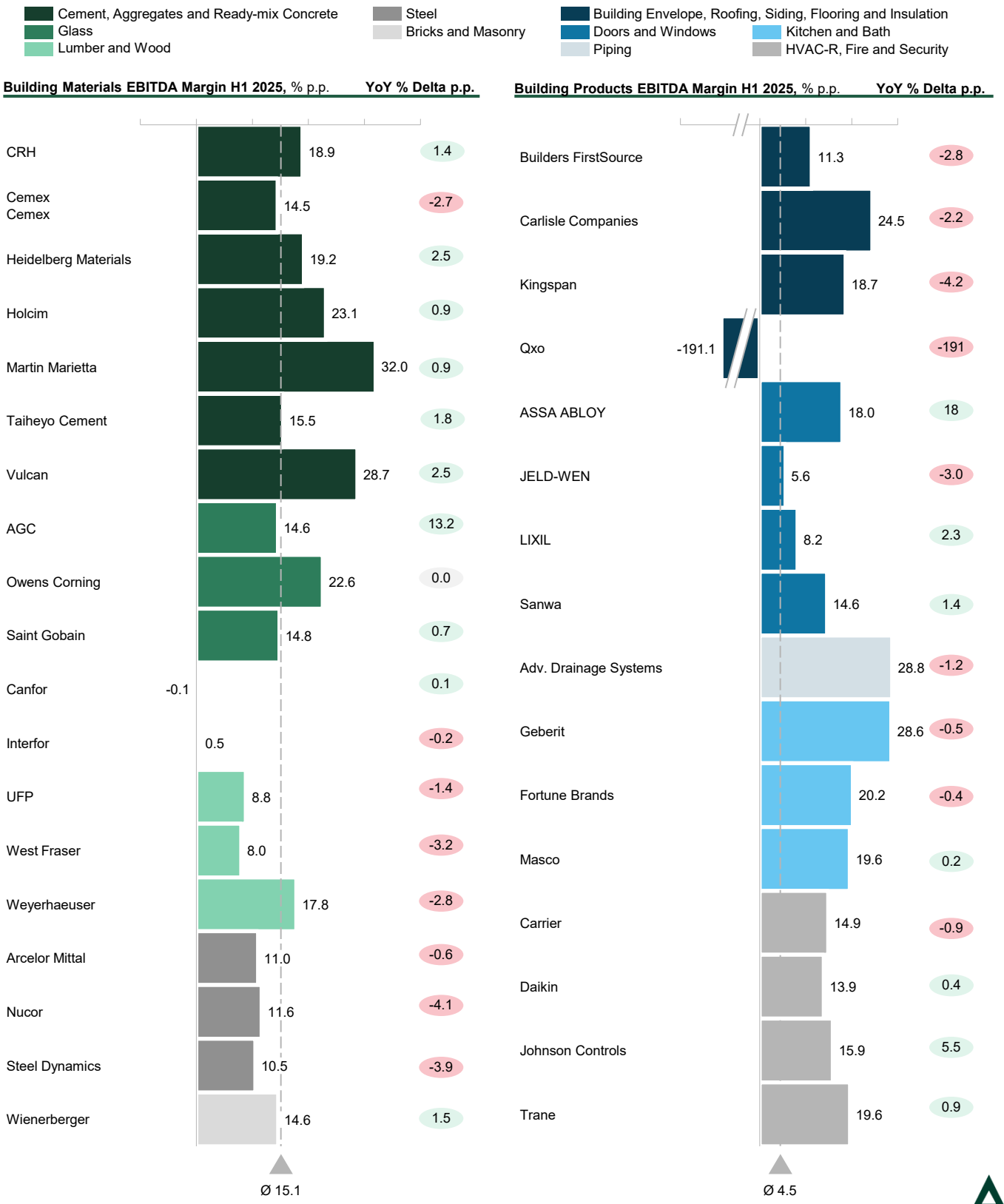
Source: Capital IQ, Applied Value analysis

Apart from the steel segment, SG&A as a percent of sales greatly vary within sub-sectors, while most companies experienced an increase YoY



Source: Capital IQ, Applied Value analysis

Building materials companies, except for the cement sub-sector, had worsening margins YoY, while building products experienced mixed results



Source: Capital IQ, Applied Value analysis

Appendix

Appendix #1: Applied Value Q1-2025 in Review

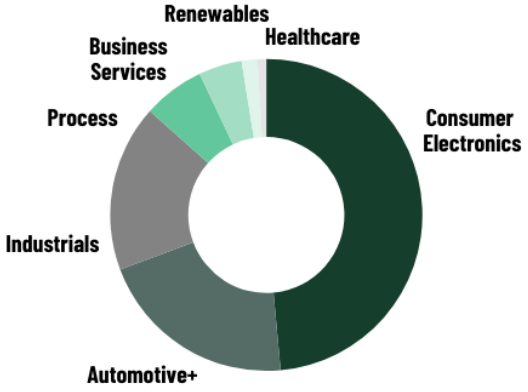
APPLIED VALUE

APPLIED VALUE CONSULTING Q1 2025 IN REVIEW

Project Impacts

- **$1B+ Client Financial Impact**
- **~38x Average Payback**
- **30 Projects Delivered Across 23 Countries**

Industries Supported



Highest Value Project Areas

Tariff Response Task Force

Supported various clients in standing up Tariff Response teams, developing mitigation plans for $400M+ spend across engagements

Cost-Out - Zero Based Budgeting

Supported multiple clients in achieving 15%+ OPEX reductions through activity value analysis to optimize org direction, dimension, and design

Footprint Optimization

Redesigned a 23-site NA/EMEA mfg. footprint, unlocking $41M in run-rate savings combining consolidation, automation, and labor efficiency

SKU Rationalization

Standardized production and reduced SKU count by ~35% through consolidation/elimination of low-value SKUs

Should-Cost Modeling

Built out should-cost modeling capabilities to support negotiations and VA/VE initiatives, which enabled a path to 20% reduction in module costs

2025 Hot Topics

- Pricing Optimization Strategy
- Tariffs & Operations Optionality Modeling
- COGS and OPEX Efficiency
- Transportation & Distribution
- Supply Chain Strategy
- Manufacturing Footprint

Appendix #2: Additional Reports & Contact Information

Report	Frequency	Owner	Email
Steel Report	Quarterly	Eli Kaganov	eli.kaganov@appliedvalue.com
Pulp & Paper	Quarterly	Jack Troller	jack.troller@appliedvalue.com
Non-Ferrous	Quarterly	Grant Burden	grant.burden@appliedvalue.com
Telecom	Semi-Annual	Lambert Rutaganda	lambert.rutaganda@appliedvalue.com
Auto Tier 1	Semi-Annual	Leo Yang	leo.yang@appliedvalue.com
Pharma/Med-Tech	Pending	Philip Nordenström	philip.nordenstrom@appliedvalue.com
Tariff Updates	As Needed	Justin Leopold	justin.leopold@appliedvalue.com
AV Wrapped	Quarterly	John Catapano	john.catapano@appliedvalue.com

For more information, please do not hesitate to reach out to:

Max Sultan
Partner
+1 (978) 760-9971

Miami

Alexander Schneider
Manager
+ 1 (561) 289-1313

Miami

Jacob Wozniewski
Senior Consultant
+ 1 (351) 216-9648

Miami

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